# Microsoft Corporation — Activision Blizzard Acquisition

## M&A Accretion/Dilution & Strategic Analysis

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**Thesis Question:** Was Microsoft's acquisition of Activision Blizzard financially justified, and what level of annual synergies was required for the transaction to become EPS accretive?

**[SOURCED]** **[ASSUMPTION]** **[MODEL-DERIVED]** **[INTERPRETATION]** — throughout this report, tags indicate whether a figure is pulled directly from a filing, is a disclosed model assumption, is calculated from the model, or reflects strategic judgment beyond what the model itself can show.

## 1. Executive Summary

**[MODEL-DERIVED]** At zero synergies, the transaction dilutes Microsoft's EPS by approximately 4.07% in Year 1. Reaching EPS neutrality requires roughly $3.637 billion of annual pre-tax synergies — equal to about 48.31% of Activision's entire FY2022 revenue. Modeled with a synergy ramp and the scheduled step-down in intangible amortization, the five-year EPS path improves from -3.10% to +2.33%. Separately, under the model's forecast assumptions, Microsoft's post-close free cash flow would rebuild the $61.8 billion of liquidity deployed in approximately 2.40 years.

**[INTERPRETATION]** Taken together, these findings suggest the deal is difficult to justify on near-term EPS accretion alone, but that Microsoft's balance sheet strength materially reduces the financial risk — making the acquisition more defensible as a long-duration strategic investment than as a traditional cost-synergy transaction. Section 10 develops this conclusion fully.

## 2. Transaction Overview

**[SOURCED]** All figures below are drawn from Microsoft's FY2025 Form 10-K (final purchase price allocation) and the original deal announcement.

| Item | Value |
|---|---|
| **Announcement date** | January 18, 2022 |
| **Close date** | October 13, 2023 |
| **Offer price** | $95.00 per share, all-cash |
| **Premium to unaffected price (Jan 14, 2022 close)** | 45.28% |
| **Announced headline deal value** | $68.7 billion |
| **Final accounting purchase price** | $75.408 billion |
| **Cash paid, net of cash acquired** | $61.800 billion |
| **Activision cash acquired** | $12.976 billion |
| **Long-term debt assumed** | $2.799 billion |

**[SOURCED]** Final purchase price allocation (Microsoft FY2025 Form 10-K, Note 7 — the allocation was explicitly completed as of September 30, 2024, superseding the FY2024 preliminary figures):

| PPA Component | Amount |
| --- | --- |
| **Goodwill** | $51.001B |
| **Identifiable intangible assets** | $21.969B |
| **Other assets acquired** | $2.503B |
| **Long-term debt assumed** | ($2.799B) |
| **Long-term income taxes assumed** | ($1.946B) |
| **Deferred income taxes assumed** | ($4.676B) |
| **Other liabilities assumed** | ($3.620B) |

**[SOURCED]** Intangible assets break down as marketing-related ($11.619B, 24-year life), technology-based ($9.689B, 4-year life), and customer-related ($0.661B, 4-year life) — unchanged between the preliminary and final allocation.

## 3. Standalone Financial Profile

**[SOURCED]** Standalone historicals use each company's last full pre-close reporting year — Microsoft's FY2023 (ended June 30, 2023) and Activision's FY2022 (calendar year) — since the deal closed October 13, 2023, partway through Microsoft's FY2024.

| Metric | Microsoft FY2023A | Activision FY2022A |
|---|---|---|
| **Revenue** | $211,915M | $7,528M |
| **Operating Income** | $88,523M | $1,670M |
| **Net Income** | $72,361M | $1,513M |
| **Diluted EPS** | $9.68 | $1.92 |
| **Diluted Weighted-Avg. Shares** | 7,472M | 789M |
| **Effective Tax Rate** | 18.98% | 13.25% |

**[DERIVED]** Activision's 13.25% effective rate is calculated from its reported $231M tax expense on $1,744M pretax income, and is used as the Year-1 starting point in the tax-rate transition described in Section 7.

## 4. Sources & Uses / Financing

**[INTERPRETATION]** Microsoft's FY2024 cash flow statement shows debt issuance and repayment activity, but the filings do not identify any issuance as acquisition-specific. The transaction is modeled as primarily cash-funded rather than assuming an unsupported acquisition-debt tranche — a deliberate departure from the textbook leveraged-acquisition template.

| Item | Value | Type |
|---|---|---|
| **Net cash deployed** | $61.800B | Sourced |
| **Foregone cash yield (opportunity cost of cash used)** | 4.0% | Assumption |
| **Pre-tax foregone interest income** | $2.472B | Derived |
| **After-tax economic cost** | $2.003B | Derived |
| **Microsoft effective tax rate (applied to transaction adjustments)** | 18.98% | Sourced |

**[ASSUMPTION]** The 4.0% foregone-yield assumption is a model input, not a disclosed Microsoft figure — it approximates the return Microsoft could otherwise earn on deployed cash and short-term investments. A $632 million gap between net cash paid plus cash acquired ($74.776B) and the total purchase price ($75.408B) is explicitly disclosed as unresolved, non-cash consideration rather than assumed to be any specific item (e.g., replacement equity awards) without primary-source confirmation.

## 5. Accretion / Dilution Analysis

**[DERIVED]** The base-case bridge starts from each company's own reported net income (preserving Microsoft's and Activision's real historical tax treatment) and layers in the after-tax cost of foregone interest income and new intangible amortization:

| Item | Amount |
| --- | --- |
| **Microsoft standalone net income** | $72,361M |
| **Activision standalone net income** | $1,513M |
| **Less: after-tax foregone interest** | ($2,003M) |
| **Less: after-tax PPA amortization** | ($2,489M) |
| **Pro forma net income (no synergies)** | $69,382M |
| **Pro forma diluted EPS** | $9.2857 |
| **Microsoft standalone EPS** | $9.68 |
| **EPS accretion / (dilution)** | (4.07%) |

**[INTERPRETATION]** This dilution is not a sign of weak fundamentals at either company — it is the mechanical consequence of foregoing interest income on $61.8B of cash and amortizing $3.07B/year of newly recognized intangible assets against a deal that generated no new revenue synergies by assumption.

## 6. Synergy Breakeven Analysis

**[DERIVED]** Solving directly against Microsoft's standalone diluted EPS of $9.68 gives the pre-tax annual synergy level required for exactly 0.0% accretion/dilution:

| $3.637B | 48.31% |
|---|---|
| Required annual pre-tax synergies for EPS neutrality | of Activision's entire FY2022 revenue |

**[INTERPRETATION]** **This is a model-derived EPS-neutral hurdle, not management synergy guidance — Microsoft has not disclosed a specific synergy target for this deal.** The finding is nonetheless significant: $3.637B is a very large synergy requirement in absolute terms, and at 48.31% of Activision's entire FY2022 revenue base, it is exceptionally large relative to the operating scale of the business being acquired. This does not necessarily mean the deal fails to create value — it means near-term EPS accretion from cost synergies alone is an unrealistic bar, and the investment case more plausibly rests on revenue synergies and ecosystem value that a synergy-breakeven model cannot capture (see Section 9).

**[ASSUMPTION]** Sensitivity tables in the underlying model show the breakeven synergy requirement across a 2%–6% range of foregone cash yield assumptions, confirming the hurdle remains large across reasonable variations in that assumption.

## 7. Five-Year Pro Forma Financials

**[DERIVED]** The five-year income statement extends the Year-1 bridge using a synergy ramp (25% / 60% / 85% / 100% / 100% of full run-rate) and an explicit amortization schedule that captures the step-down when the 4-year-life intangibles fully amortize after Year 4:

| Metric | Yr 1 | Yr 2 | Yr 3 | Yr 4 | Yr 5 |
|---|---|---|---|---|---|
| **EPS Accretion/(Dilution)** | (3.10%) | (1.42%) | (0.39%) | 0.24% | 2.33% |

**[ASSUMPTION]** Activision's 13.25% and Microsoft's 18.98% effective tax rates are each sourced from their respective FY2023/FY2022 filings, but the transition schedule connecting them — reaching Microsoft's consolidated rate by Year 3, reflecting assumed post-close tax integration — is a model assumption, not a disclosed timeline. Transaction-specific items (interest, amortization, synergies) are taxed at Microsoft's rate throughout. Year 1 at 0% synergies reconciles exactly to the Section 5 bridge (net income, EPS, and accretion/dilution differences all equal zero).

**[INTERPRETATION]** The trajectory's turn to accretive in Year 4-5 is driven by two distinct effects compounding together: synergies reaching full run-rate, and intangible amortization dropping sharply once the 4-year assets are fully written off. Isolating these effects matters — the deal does not become accretive on revenue growth alone. **This five-year path is a scenario outcome produced by the model's own growth, margin, and synergy-ramp assumptions — it is not management guidance and should not be read as a prediction of Microsoft's actual realized post-close EPS.**

## 8. Liquidity Rebuild Analysis

**[INTERPRETATION]** Because this was not a classic highly-leveraged acquisition, a debt-paydown narrative would misrepresent the transaction. The more relevant question is how quickly post-close cash generation would replenish the liquidity deployed, under the model's forecast assumptions for revenue growth, margins, and capital allocation — not a guaranteed outcome.

**[SOURCED]** The five-year cash flow statement uses Microsoft's actual FY2023 base figures for D&A ($13.861B), stock-based compensation ($9.611B), capex ($28.107B), dividends ($19.800B), share repurchases ($22.245B), and debt repayment ($2.750B), grown using the same framework as the income statement.

| Year | Cumulative Net Cash Generated |
|---|---|
| **Year 1** | $21.8B |
| **Year 2** | $48.6B |
| **Year 3** | $81.2B |
| **Year 4** | $119.9B |
| **Year 5** | $164.3B |

**2.404 years**

**[DERIVED]** This is a fully formula-driven interpolation (crossing the $61.8B target during Year 3), not a hardcoded estimate — cumulative net cash generation reaches $81.2B by Year 3 against a $61.8B target, and the model interpolates within that year to arrive at 2.404 years.

## 9. Strategic Rationale & Risks

**[INTERPRETATION]** The $3.637B breakeven hurdle should not be read as a required cost-synergy target — it is useful precisely because it shows how much cost-side value creation alone would be needed, which highlights how much of the real investment thesis must rest elsewhere.

**Cost synergies** — the EPS model's lens — are the least plausible primary value driver here. Activision's own cost base (~$5.9B of total costs and expenses in FY2022) makes a $3.6B annual cost synergy target look implausible without gutting the studios that make the acquired IP valuable in the first place.

**Revenue synergies** are more plausible: Call of Duty and King's mobile audience distributed through Xbox Game Pass, cross-platform subscription bundling, and monetizing Activision titles across console, PC, cloud, and mobile simultaneously. These are difficult to quantify in a standalone EPS bridge but are closer to Microsoft's stated strategic rationale for the deal.

**Strategic/ecosystem value** — content ownership as a hedge against platform dependency, King's mobile distribution reach, and Game Pass subscriber growth — represents long-duration option value that a five-year EPS model is not designed to capture at all.

**Regulatory risk** was material and real: the deal faced significant scrutiny (including a UK CMA block later reversed after restructuring, and an FTC lawsuit) before closing, and the prolonged approval timeline itself carried real financial and strategic cost not reflected in this model.

**Key risk to this analysis:** if Microsoft's actual investment thesis depends heavily on ecosystem and revenue synergies rather than cost synergies, the 48.31%-of-revenue hurdle overstates how "unrealistic" the deal looks on a pure cost basis — the real question this report cannot fully answer is how much of that gap Microsoft expects to close through revenue growth versus long-duration strategic value.

## 10. Final Recommendation

**[INTERPRETATION]** **The Activision transaction is difficult to justify on near-term EPS accretion alone.** The base case is dilutive by roughly 4.07% with no synergies, and reaching neutrality requires an annual pre-tax synergy level equal to nearly half of Activision's entire pre-deal revenue — a bar that is very hard to clear through cost synergies without undermining the acquired business itself.

However, **Microsoft's balance sheet strength and cash-generation capacity materially reduce the financial risk of the deal.** Under the model's forecast assumptions, the $61.8 billion deployed would be rebuilt in roughly two and a half years, without requiring a debt paydown story, asset sales, or any interruption to Microsoft's dividend and buyback program. That reflects a relatively low degree of financing risk for a deal of this size, on the model's forecast assumptions.

Putting these together, the acquisition is **more defensible as a long-duration strategic investment in gaming distribution and ecosystem value than as a traditional cost-synergy transaction.** The EPS-accretion lens this report builds is a real and useful discipline — it quantifies exactly how large the gap is between "the deal pays for itself on paper" and "the deal makes strategic sense" — but it is not by itself sufficient to judge whether Microsoft was right to do this deal. That judgment depends on revenue synergies and ecosystem value this model is not built to price, and on Microsoft's tolerance for a long payback horizon that its balance sheet can clearly support.

### Sources

*Microsoft FY2025 Form 10-K (final Activision purchase price allocation, Note 7); Microsoft FY2023 Form 10-K and earnings release (standalone financials, cash flow statement); Activision Blizzard FY2022 Q4 earnings release exhibit (standalone financials, consolidated statement of operations); Microsoft/Activision deal announcement, January 18, 2022.*